

TABLE 4.2 Simple strategies compared to benchmarks and competition, 2002 to 2021

		MA	MSCI			
	Breakout	Cross	World TR	BTOP50	Millburn	Dunn
Compounded annual return	14.25	12.74	8.29	3.64	5.13	7.34
Worst drawdown	-47.19	-64.67	-56.23	-17.30	-22.94	-57.88
Annualised volatility	27.46	30.85	16.12	7.43	12.6	28.41
Percentage profitable months	52.92	54.17	62.08	45.98	57.47	55.17
Best month	48.70	37.94	12.21	7.00	12.13	29.55
Worst month	-19.29	-21.04	-19.79	-6.00	-11.51	-22.63
Sharpe (zero)	0.62	0.54	0.58	0.52	0.46	0.39

number that can be raised and lowered depending on how large a position you want and by extension how much risk you want on your strategy. By lowering this number, you get lower return numbers, lower drawdowns, and lower standard deviation, and vice versa if you raise the number. You are still, however, deducting the same risk-free rate from your returns, and so if you lower your number, you get a lower standard deviation but lose a much larger part of your return in the numerator of the Sharpe equation.

The data in Table 4.1 covers quite a long period, from the start of 1992, and we know of course based on the charts we saw earlier that a large amount of outperformance came from the first decade. This is both due to the strong trend-following performance of the 1990s, and part due to the bear market of 2000, where stocks fell and trend-following models didn't. In the first edition of this book, I limited the data period covered to 20 years, so let's have a look at the same data again, over the last 20 years (Table 4.2).

■ Correlations Between Strategies

What we are looking at here are monthly return correlations, that is, how closely the returns of one strategy are related to another. Be careful when you calculate your correlations and avoid the rookie errors that are still so common.

The most common mistake made by people not used to calculating correlations is to simply make a column in Excel with all the price series, NAV